

TSE Urgent Notice



Feb. 22, 2022
Listing Department
Tokyo Stock Exchange, Inc.

Request for Improvement Report and Public Announcement Measure

TSE has requested an Improvement Report and taken the Public Announcement Measure as follows.

*This decision is based on the results of the examination by Japan Exchange Regulation.

1. Company Name OUTSOURCING Inc.
(Code: 2427, Market Division: 1st Section)
2. Improvement Report Submission Deadline Mar. 8, 2022 (Tue.)

Provision Securities Listing Regulations, Rule 502, Paragraph 1, Item (1)
(Due to disclosed information containing false statements and improvements being deemed highly necessary)
3. Date of Public Announcement Measure Feb. 22, 2022 (Tue.)

Provision Securities Listing Regulations, Rule 508, Paragraph 1, Item (1)
(Due to disclosed information containing false statements and public announcement being deemed necessary)
4. Reason OUTSOURCING Inc. (hereinafter "the Company") disclosed an investigation report of the investigation committee concerning inappropriate accounting processing on Dec. 28, 2021 and disclosed corrections to its past earnings reports on Jan. 14, 2022.
These disclosures revealed that the Company conducted inappropriate accounting processing, such as overstatement of revenue and understatement of expenses with the director in charge of the business operations unit having disabled the internal control systems of the unit under his own control, and that multiple subsidiaries of the Company also conducted inappropriate accounting processing through various means. As a result, the Company was found to have made false disclosures in

violation of the listing rules for earnings reports, etc. from the fiscal year ended Dec. 2019 to the second quarter of the fiscal year ended Dec. 2021, and as a result of the subsequent corrections to past earnings reports, the Company's net income attributable to owners of the parent company was found to have decreased by at least 40% for the fiscal year ended Dec. 2020.

It was deemed that the following points contributed to the occurrence of these disclosures:

- The Company had failed to develop a system for the board of directors, etc. to sufficiently evaluate whether its budget, which was formulated under a management policy that strongly demanded constant growth, was feasible or reasonable.
- The Company had failed to develop a system to discourage fabrication of achievements of budget targets or understatements of shortfalls, in that for example, the board of directors, etc. did not discuss the grounds that the target achievements were based on or the factors behind shortfalls.
- Throughout the Company, compliance was considered to be a matter of laws and regulations relating to HR and labor. As such, the Company had failed to develop a system to raise awareness of compliance that included accounting practices.
- The Company had failed to develop a system to sufficiently investigate or verify the appropriateness of accounting processed by business divisions and subsidiaries, due mainly to a shortage of employees in the accounting department.

Based on the above, this case involves inappropriate disclosure that has considerable impact on investment decisions caused by inadequacies in the system of the Company for appropriately conducting timely disclosure, and improvements in the Company's system for timely disclosure are deemed highly necessary. Therefore, TSE requires the Company to submit a report containing the events leading to the issue and improvement measures.

In addition, as this case is deemed to require public announcement, TSE implements the public announcement measure.

* After submission of the Improvement Report, etc. by the Company, they will be made available on the JPX website and through the TDnet database service.

Improvement Report, etc. that are currently available for public inspection can be found on the following page of the JPX website (<https://www.jpx.co.jp/listing/measures/improvement-reports/index.html>) (available only in Japanese).

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